

Title

Put as simply as possible, title specifies who has rights to the property. When you purchase a house, there will be a title *transfer* in which you are granted ownership of the property and the seller gives up ownership in exchange for selling the house. The title *company* will take care of this process, and title *insurance* protects both you and your lender from any defects in the title. (Though these problems are rare, they can still happen—and if something is wrong, title insurance will protect you against losses.)

If your new home is on a plot of land that once belonged to Farmer Joe, you would assume that he legally sold that property to whoever built the homes there. However, if he pulled a fast one on the buyer and his great-great-grandson has legal rights to half the land under your house, things could get messy for you down the line.

Similarly, if the previous owner of the home never paid for a \$30,000 roof replacement, there might be a lien on the home so the roofer can finally get their hard-earned money. If you overlook this when you buy the home, that \$30,000 will become *your* problem.

Your contract will probably include a whole lot of title information and requests. You should know who is paying for title insurance—sometimes it's the seller, sometimes the buyer, and sometimes the cost is split half and half. You are also given a few different title deadlines, during which the seller will provide a copy of their current title and you and your agent can scope it out for anything fishy. There's also a title objection and title resolution deadline before which you can point out and solve any problems or back out of the offer completely.

Problems with title arise when there is anything that gives another party a claim to the property. This could be a second mortgage, a lien, or even a previously unknown heir who comes forward with a will that dictates their right to own the property. A lien is placed on a home if the owner owes money to someone and cannot (or will not) pay it. Contractors who have done work on the home and weren't paid can place a lien on the property so that they finally receive their money when the property is sold. The IRS can place a lien on the home if the owner fails to pay a tax debt.

Resolving title problems can be super complex or super easy. A property with one of the problems listed above might not be covered by title insurance at all, or the insurance policy might exclude that problem—